Complex Pricing

Advanced Pricing Strategies

Management 405

Prof. Nico Voigtländer · UCLA Anderson

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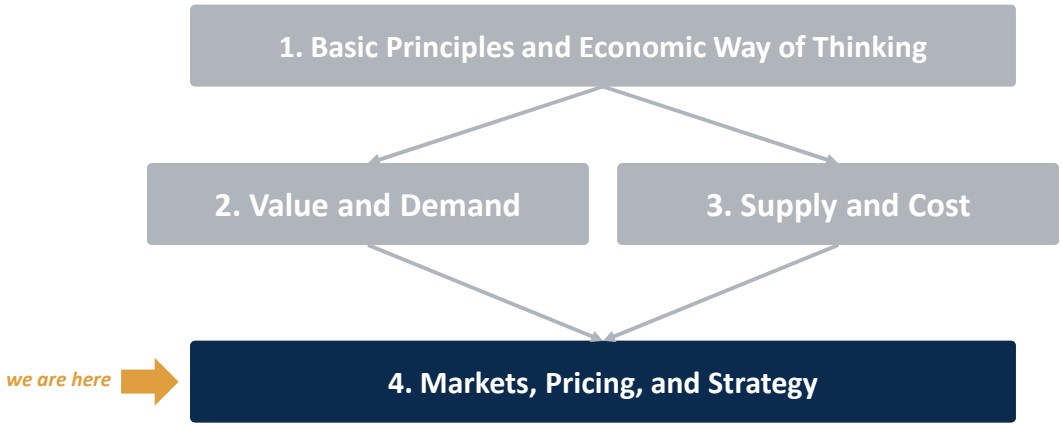
Some Logistics

- Final Exam logistics: Will be presented under Module 7 slides

2

Module 6 · Video 1 · Course Roadmap

Agenda for the Class



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Module 6 · Video 1 · Agenda

Outline of Module 6

1. **Simple vs. Complex Pricing** — Video 2
   The pricing dilemma and why complex pricing pays
2. **Direct Price Discrimination** — Videos 3+4
   - 2a **Perfect Price Discrimination (First Degree)** — Video 3
     Charging every customer her own willingness to pay
   - 2b **Segment Pricing (Third Degree)** — Video 4
     Different prices for groups with different price sensitivity
3. **Indirect Price Discrimination (Second Degree)** — Video 5
   Versioning and coupons let customers sort themselves
4. **Advanced Pricing Strategies** — Videos 6–8
   - 4a **Flat Fee Pricing** — Video 6
     Unlimited access for one all-or-nothing fee
   - 4b **Two-Part Tariff** — Video 7
     A flat fee plus a usage fee set at marginal cost
   - 4c **Block Pricing** — Video 8
     A lower price as the same customer buys more
5. **Summary of Pricing Strategies** — Video 9
   Which strategy fits which market conditions

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Module 6
In-Class Part

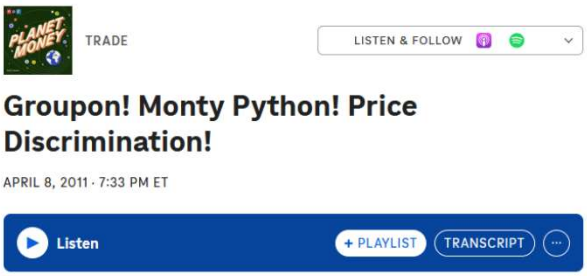
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Some Applications of the Material Covered in the Videos

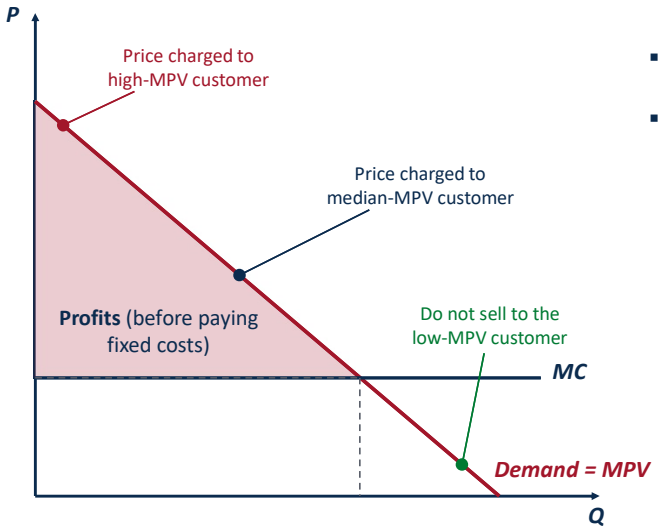
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Dilemma of Simple Pricing, Explained by the Podcast

- MC of a burger is $4.50
- NYC restaurant sells it for $18
- Lose customers with MPV = $15, $11, etc
- What if you charge $10?
  - Give it for too little to those with MPV > $18



Recall from Video 3: First Degree Price Discrimination (Now MC > 0)



- Now: MC > 0
- Could you ask customers to reveal their true MPV?



Discussion

The Dystopian Future of Price Discrimination

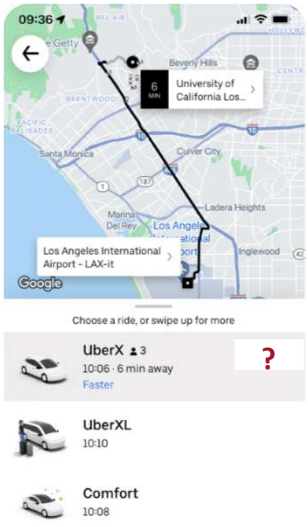
- Why are companies increasingly able to use first-degree price discrimination (personally tailored prices)? Any examples?
- Is the trend towards more price discrimination good or bad for consumers?



Discussion

Is Uber Charging What You're Willing to Pay?

- I need 10 volunteers (5 for Uber, 5 for Lyft)
- Open your Uber/Lyft app
- Enter "LAX" in the destination address
- Do NOT hit request
- Just tell me the UberX/Lyft price



Discussion

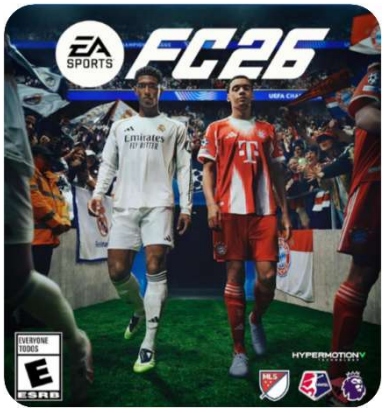
Segment Pricing: Discounts for Locals







Segment Pricing: Timing





Source: https://camelcamelcamel.com/

Module 6 · In Class · Examples · Segment Pricing (Third Degree)

Recall from Videos: Ways to Segment Consumers

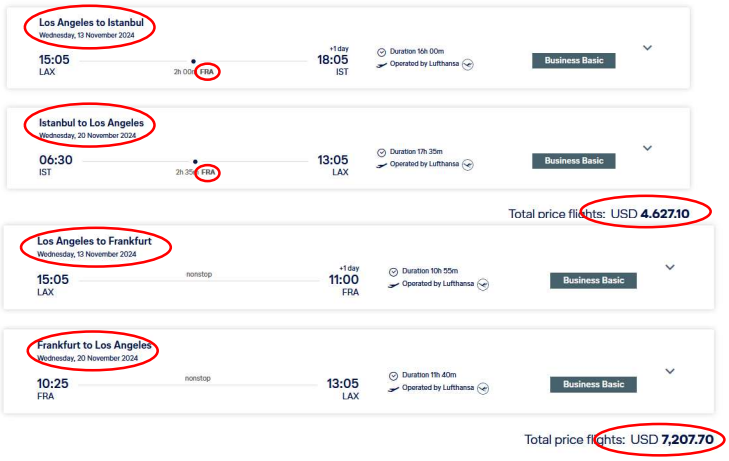
- By customer characteristics
  - Discounts for new customers (gym memberships)
- By location
- Intertemporal



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Module 6 · Video 4 · Segment Pricing (Third Degree)

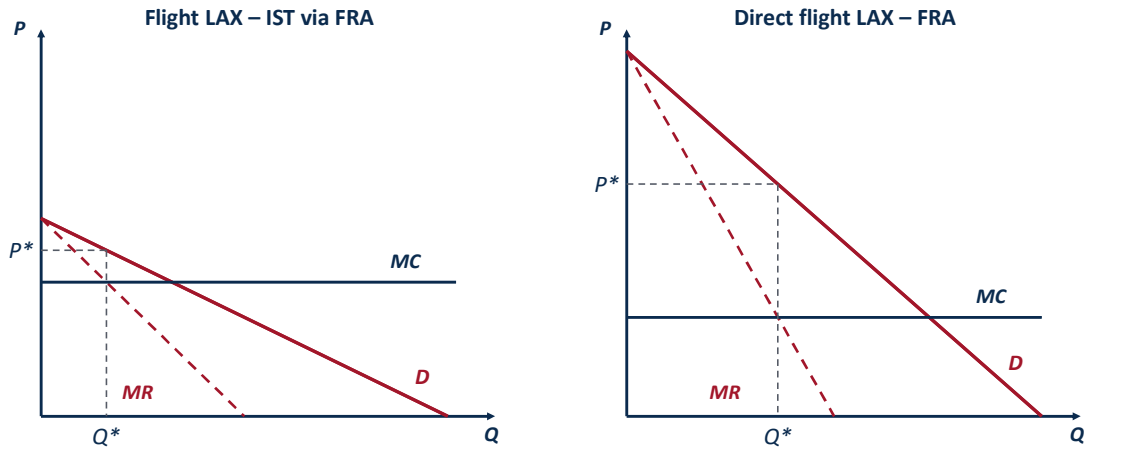
Airline Pricing: We Can Now Solve the 'Puzzle' from Week 1



The longer trip is cheaper — why?

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Lufthansa Pricing: Solution



Higher price for the shorter direct flight — less elastic demand, despite its lower MC

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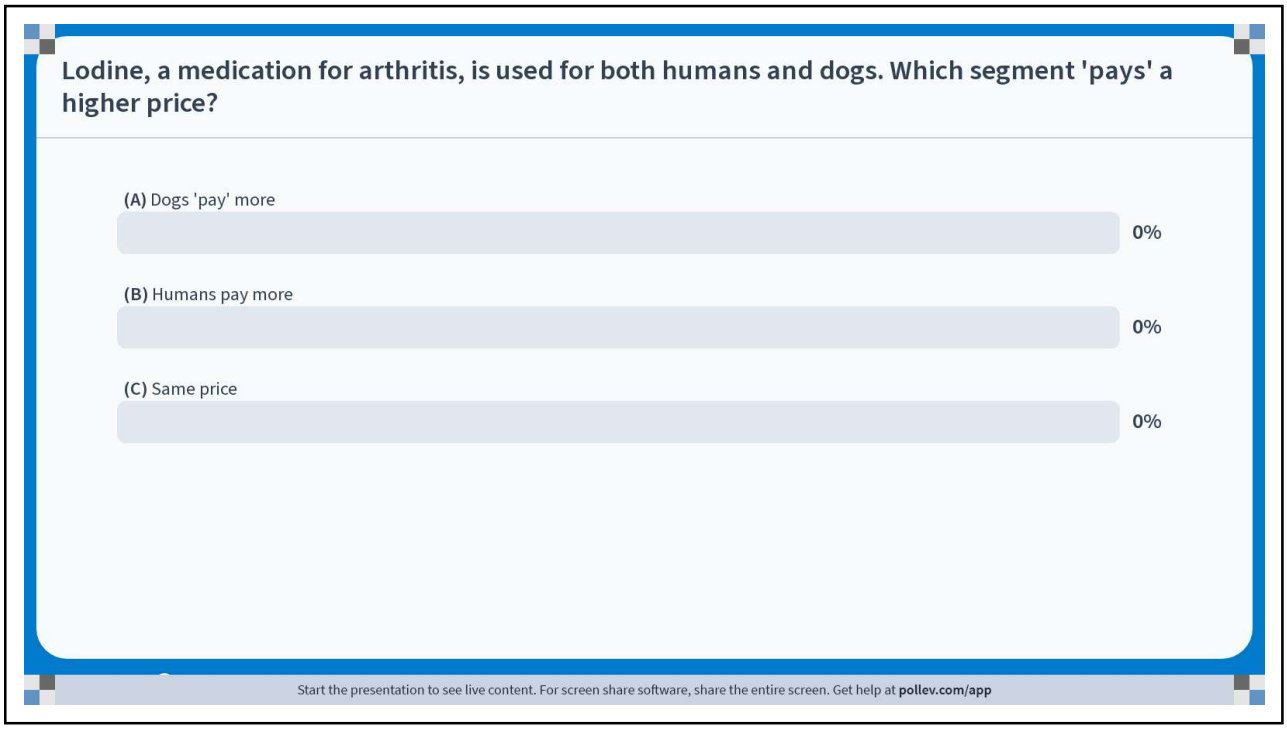
Consumer Segments in Medication

- Lodine, a medication for arthritis, is used for both humans and dogs
- Which segment 'pays' a higher price?



Poll Break

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Solution

Poll Break

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Segment Pricing in Movies

Higher prices for new movies and blockbusters

ENTERTAINMENT

AMC is charging more for 'The Batman' tickets as it tests out a new pricing model

PUBLISHED TUE, MAR 1 2022-6:09 PM EST | UPDATED TUE, MAR 1 2022-6:29 PM EST

Sarah Whitten @SARAHWHITTO

SHARE

'Infuriating': Fans unhappy over high ticket prices for 'The Odyssey' in India

The Christopher Nolan directorial is set to hit theatres across India in all formats on July 17

The Odyssey (Nolan, released 17 July 2026)

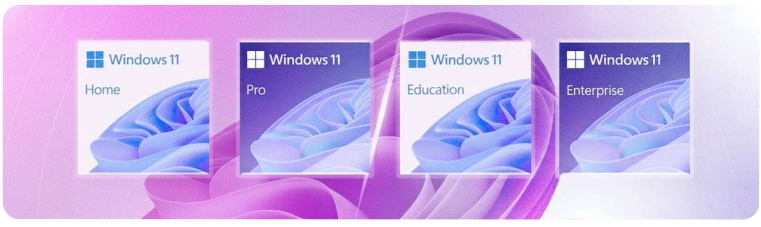
- Universal sold IMAX 70 mm seats a YEAR ahead, on 18 July 2025
- 95 % of them went in under 24 hours — most in the first hour
- At the counter: $33 a seat at AMC Lincoln Square, against a $16.30 average US ticket in 2026
- Resale reported at 400 % of face value, averaging $165, with one seat at $600

Reported figures — Variety (19 July 2025) and the Washington Post (16 July 2026)

Premium for: · Format (IMAX 70 mm) · Date · Seat location (in many theatres)

Versioning

Offer a product line and let users sort themselves







Versioning: Dolls



Barbie® Farmer Doll

IN STOCK



Barbie® Yves Saint Laurent Doll

IN STOCK



Barbie® Robotics Engineer Doll

IN STOCK

Wendy's Failed Attempt at Dynamic Pricing



NEWS > QUICK SERVICE

Wendy's expects to test dynamic pricing and daypart offers in 2025

New CEO Kirk Tanner outlines $30M investment in digital menu boards over next 2 years as well as new $55M investment in breakfast marketing

'on Ruggless | Feb 15, 2024

- Created immediate consumer backlash and a PR disaster: "charge higher prices when consumers are hungry"
- **Sen. Elizabeth Warren:** "It's price gouging plain and simple, and American families have had enough."
- Wendy's issued a correction: now planning to introduce versioning (different menu options and discounts)

Direct price discrimination creates more backlash than indirect price discrimination

Airline Response to Low-Cost Carriers

How should United respond to Southwest starting to offer flights on one of its routes?



Poll Break

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How should United respond to Southwest starting to offer flights on one of its routes?

United should reduce its ticket price, keeping the rest of its package the same 0%

United should increase its ticket price, keeping the rest of its package the same 0%

United should introduce a new low-cost version of its service 0%

United should introduce a new high-cost version of its service 0%

Start the presentation to see live content. For screen share software, share the entire screen. Get help at **pollev.com/app**

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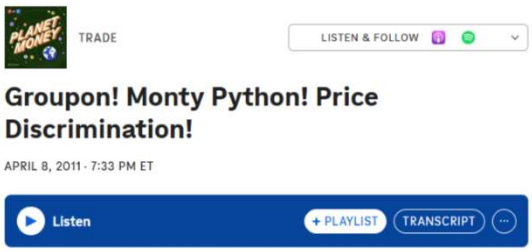
Solution

Poll Break

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Back to the Podcast on Price Discrimination

- Historically: price discrimination by haggling
  - Can it lead to perfect price discrimination?
  - What's the problem with haggling?
- How does the NYC restaurant try to price discriminate?
  - Regular price: $18
  - MC of a burger + drinks is $4.50
  - How much is the coupon? Does that make sense?
- How do coupons relate to price discrimination?



Discussion

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What Can Go Wrong with Flat Rates…

Los Angeles Times

TRAVEL

The frequent fliers who flew too much

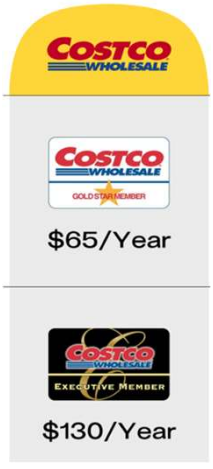
Lifetime first class flat rate sold in the 1980-90s: "Each had paid American Airlines more than $350,000 for an unlimited AAirpass and a companion ticket that allowed them to take someone along on their adventures. Both agree it was the best purchase they ever made, one that completely redefined their lives."

- How many customers bought it?
  - **Only 65** customers
- How did they behave?
  - Two of them flew 30 million miles or more, each costing American **more than $1 million a year**

If MC > 0, offering a flat rate with unlimited access is a bad idea:
consumers will use 'too much' of the service — this can be solved by two-part tariffs

Costco: Combination of Versioning and Two-Part Pricing

- Business model
  - Make money on the memberships
  - Sell goods at the cheapest price possible
- Two membership versions, and the customer picks
- WSJ video on the strategic layout of Costco stores

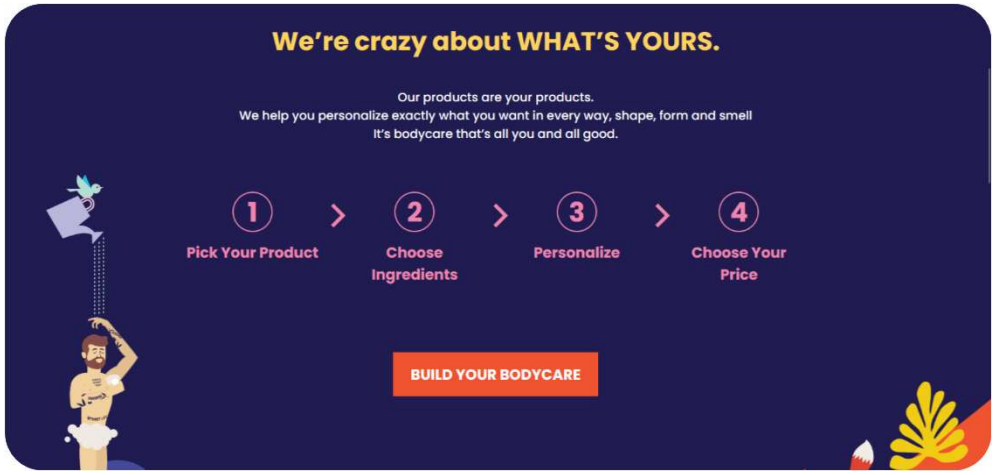


Some Examples for Innovative Pricing Strategies

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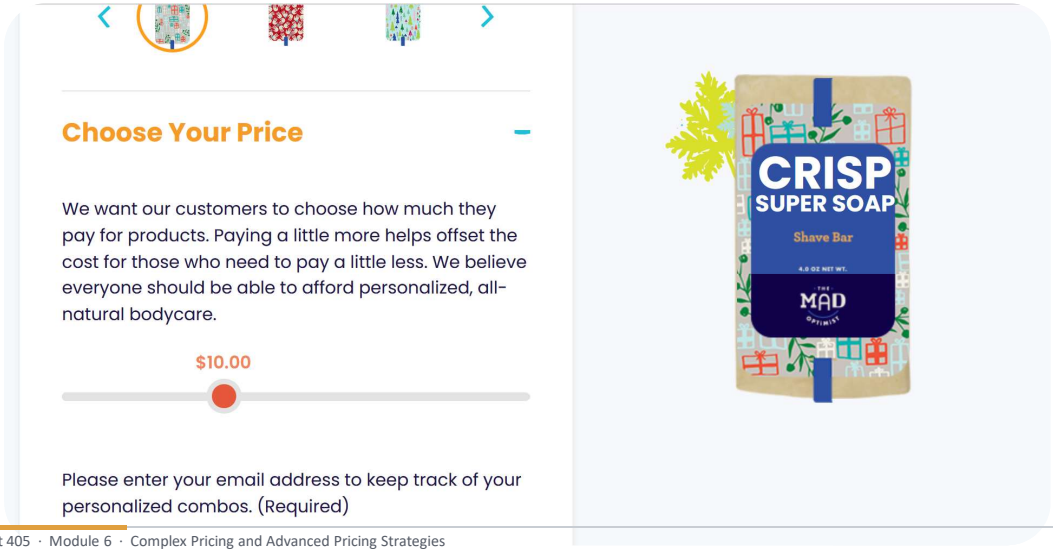
The Mad Optimist

An interesting way to extract consumer surplus



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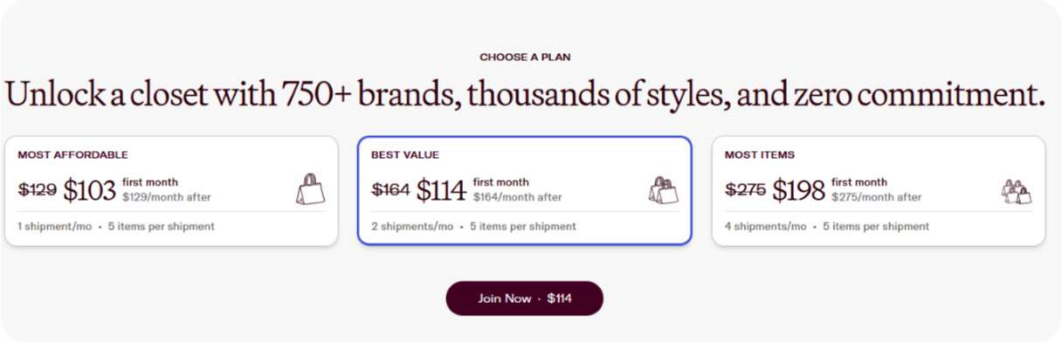
The Mad Optimist – "Choose Your Price"



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Rent the Runway

Combination of block pricing and versioning



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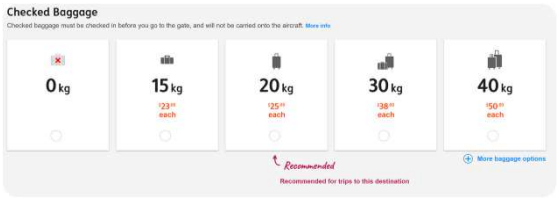
Behavioral Insight: Price Framing





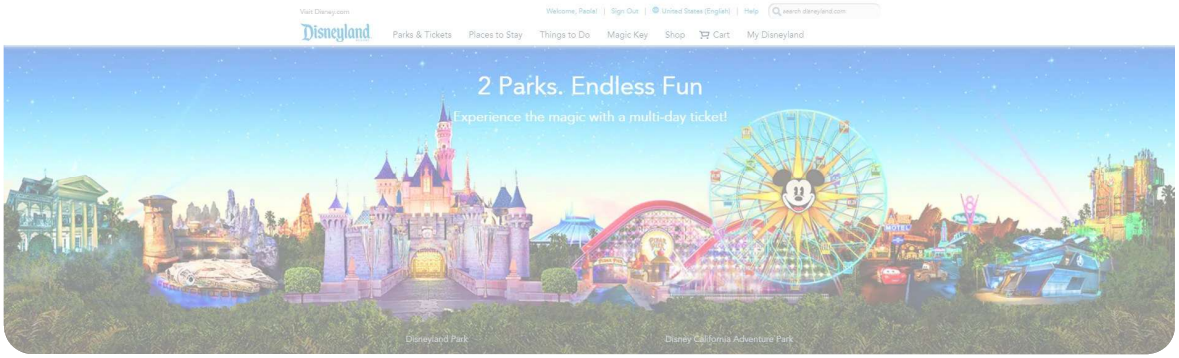
Prices ending in 9 or .99 draw focus to the previous digit

Adding a highly priced option draws attention to the intermediate prices

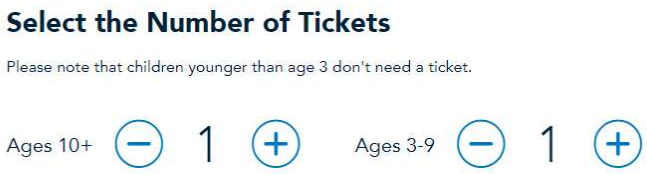


Disneyland: Pricing Strategy

…we will look at different features of the overall strategy



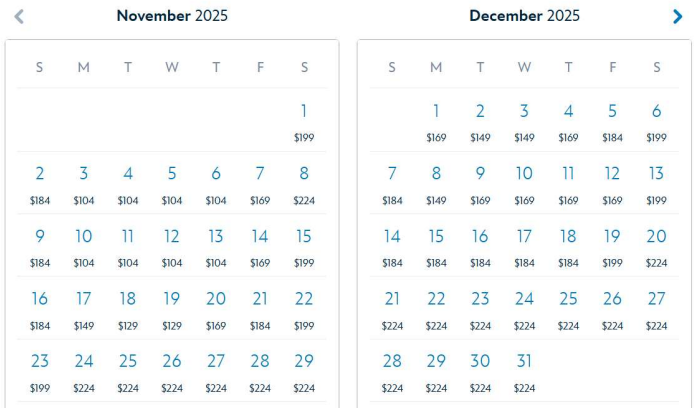
Disneyland: Segment Pricing by Age



- A child's ticket is cheaper than an adult's
- The park can verify age at the gate, so the segments cannot swap

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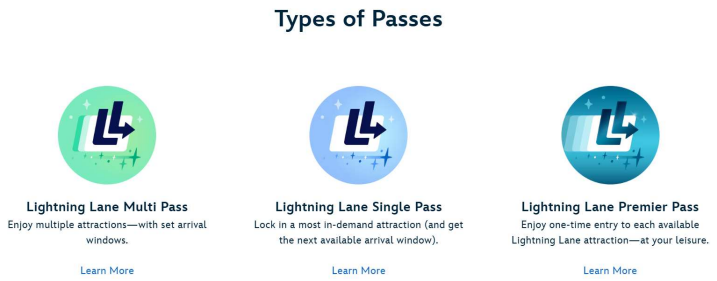
Disneyland: Segment Pricing by Date



- The same ticket runs from about $104 to $224 by DATE
- Peak dates are when high-willingness-to-pay visitors can come
- Segmenting by the calendar, with no need to identify anyone

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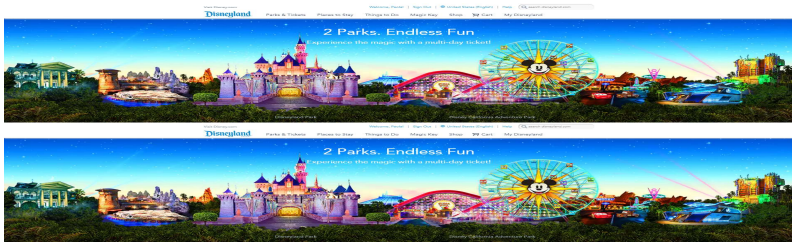
Disneyland: Versioning



- Lightning Lane comes in three versions: Multi, Single, Premier
- Visitors sort themselves → second degree
- The sorting is incentive-compatible (customers with high opportunity cost of time buy the Multi Pass)

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Disneyland: Two-Part Tariff



- Park admission is the flat fee
- Food, merchandise, etc are the usage fees

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Disneyland: Volume Pricing



- The more you commit to, the less each visit costs
- The frequent visitor pays a lower price per visit

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Disneyland: Summary

What Disneyland does	Which strategy it is
Child vs. adult tickets	Third degree — segment pricing
Prices that vary by date	Third degree — intertemporal
Lightning Lane tiers	Second degree — versioning
Gate price + in-park spending	Two-part tariff
Bundles of day tickets	Volume / block pricing

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